

FEDERAL MARITIME COMMISSION

DOCKET NO. 21-16

**WAN HAI LINES, LTD. AND WAN HAI LINES (USA) LTD. — POSSIBLE
VIOLATIONS OF 46 U.S.C. § 41102(C)**

JOINT MEMORANDUM IN SUPPORT OF PROPOSED SETTLEMENT

The Bureau of Enforcement, Investigations, and Compliance (BEIC, successor to the Bureau of Enforcement) and Respondents Wan Hai Lines, Ltd. And Wan Hai Lines (USA) Ltd. (collectively, Wan Hai or Respondents) submit this joint memorandum in support of the proposed Settlement Agreement attached. BEIC and Respondents (the Parties) believe that the proposed agreement meets the criteria set by the Federal Maritime Commission (FMC or Commission) for approval of agreements resolving administrative enforcement claims and, therefore, should be approved.

I. INTRODUCTION

The Commission issued an Order of Investigation and Hearing (OIH) commencing an adjudicatory investigation against Respondents for possible violations of 46 U.S.C. § 41102(c) on December 30, 2021. The Parties proceeded to discovery, and jointly moved for approval of a settlement agreement, and for the action to be dismissed with prejudice. See Docs. 17–24; Joint Mot., Doc. 18. On June 7, 2022, the Administrative Law Judge (ALJ) denied the Parties’ Joint Settlement Motion. See Order Denying Mot. to Intervene and Jt. Settlement Mot. Doc. 24. On

June 16, 2022, the Parties moved to jointly appeal the ALJ's order denying the settlement agreement. See Jt. Appeal of the Order Denying Jt. Pet. Mot. Doc. 25. On December 15, 2022, Respondents and the ALJ were served the Commission's order affirming the denial of the Parties' settlement agreement.¹ See Order Aff. Denial of Jt. Settlement Mot. (Remand Order). Upon remand, the Parties proceeded with further discovery. The Parties also resumed settlement discussions and agreed to a revised settlement, in the form of the attached Settlement Agreement. The revised Settlement Agreement resolves issues that were found to be in contravention of law or public policy articulated in the Commission's Remand Order. See Remand Order at 5–10.

The Parties agree to resolve their legal dispute in the Settlement Agreement and agree that settlement is in the interest of both parties, as it conserves litigative and administrative resources. Furthermore, the Settlement Agreement addresses the Commission's enforcement interests of deterrence and compliance. A summary of terms of the Settlement Agreement are as follows:

1. Within ten (10) calendar days after a decision approving this Settlement Agreement becomes administratively final, Wan Hai shall make monetary payment of civil penalties to the Commission, by cashier's or certified check or by online payment, in the total amount of \$950,000.00.
2. Within fifteen (15) calendar days after a decision approving this Settlement Agreement becomes administratively final, Wan Hai shall refund to the underlying parties charges collected under the twenty-one (21) invoices at issue in this proceeding as listed in Attachment A to the Order of Investigation and Hearing.
3. Upon submission of this Settlement Agreement to the Administrative Law Judge, Wan Hai agrees to cease and desist from knowingly assessing detention charges where: (a) Wan Hai failed to provide an equipment return location; (b) where Wan Hai identified an equipment return location that was not accepting the container chassis; or (c) where appointments were unavailable for equipment return, so as to comply hereafter with the Interpretive Rule regarding Detention and Demurrage, 46 C.F.R. § 545.5(c)(1); 85 FR 29638 (May 18, 2020).

¹ BEIC was served on December 16, 2022.

4. BEIC and Wan Hai shall jointly submit to the Administrative Law Judge a motion seeking approval of this Settlement Agreement.
5. Wan Hai hereby waives all rights now and, in the future, to seek judicial review or otherwise challenge or contest the validity of the order entered pursuant to this Agreement.
6. Upon a decision of the Administrative Law Judge or the Commission approving this Settlement Agreement becomes administratively final, this instrument shall forever bar the commencement or institution of any assessment proceeding or other claim for recovery of civil penalties from Wan Hai arising from the alleged violations set forth above as related to the twenty-one (21) invoices identified in Attachment A to the Order of Investigation and Hearing.
7. It is expressly understood and agreed that this Agreement is not, and is not to be construed as, an admission by Wan Hai to the alleged violations set forth above.
8. This agreement is subject to approval by the Commission in accordance with 46 C.F.R. § 502.603. If the agreement is not approved, all Wan Hai's obligations hereunder shall cease.

II. ARGUMENT AND AUTHORITIES

A. Commission Policy Regarding Settlement

As the Commission recognized in the Reversal and Remand Order, the “Commission has a longstanding policy of encouraging settlements and applies presumptions favoring a finding that the terms are fair, correct and valid.” Remand Order at 5 (citing *World Chance Logistics (Hong Kong), Ltd. – Possible Violations of Section 10 of the Shipping Act*, 2010 FMC Lexis 27, at *5 (FMC 2010). Likewise, in *Greatway Logistics Group, LLC v. Ocean Network Express Pte. Ltd.*, FMC Docket No. 21-04, 2021 FMC Lexis 190 (citing *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ 2002)), the Presiding Officer explained that the FMC has a “strong and consistent policy of ‘encouraging settlements and engaging in every presumption which favors a finding that they are fair, correct, and valid.’” The Commission finds settlements especially supportable when the parties are confronted with the prospect of

expensive, further litigation and uncertainty as to the outcome. *Celanese Corp. v. The Prudential Steamship Co.*, 20 S.R.R. 27, 30 (ALJ 1980). This is because settlement ““allows the parties to settle their differences, without an admission of a violation of law by the respondent, when both the complainant and respondent have decided that it would be much cheaper to settle on such terms than to seek to prevail after expensive litigation.”” *Smartstone Private Limited V. General Noli USA, Inc. And Savino Del Bene Freight Forwarders (India) Pvt Ltd*, 2015 FMC Lexis 15 at *5 (quoting *APM Terminals North America, Inc. v. Port Authority of New York and New Jersey*, 31 S.R.R. 623, 626 (2009)). Finally, as explained in the Remand Order, settlement of an enforcement proceeding requires consideration of whether the Agreement contravenes law or public policy. Remand Order at 5; see also 46 C.F.R. § 502.72(a)(3).

B. The Settlement Agreement Should Be Approved

1. Criteria for Approval of Settlement

To discharge the duty imposed by 46 C.F.R. § 502.603(a), the Presiding Officer must decide whether the proposed settlement satisfies the appropriate criteria for approval. In so deciding, the Presiding Officer generally “reviews a settlement agreement to ensure that it does not contravene law or public policy. Such review typically includes evaluating factors to determine that the settlement agreement was not a product of fraud, duress, undue influence, or mistake.” *World Chance Logistics (Hong Kong), Ltd. and Yu, Chi Shing (a.k.a. Johnny Yu) – Possible Violations of Section 10 of the Shipping Act of 1984 (World Chance)*, 31 S.R.R. 1346, 1350 (FMC 2010) (citations omitted). The Presiding Officer will also review the terms of a settlement agreement, “to ensure that the terms are fair, reasonable, and adequate.” Id.

The review also considers whether the proposed settlement agreement satisfies the appropriate criteria for approval with regard to the issue of penalty assessment. The appropriate

criteria for approving proposed settlements where a penalty assessment is present are as follows:

[S]ettlement may be based upon a determination that the agency's 'enforcement policy in terms of deterrence and securing compliance, both present and future, will be adequately served by acceptance of the sum to be agreed upon'; that 'the amount accepted in compromise . . . may reflect an appropriate discount for the administrative and litigative costs of collection having regard for the time it will take to effect collection'; the value of settling claims on the basis of pragmatic litigative probabilities, i.e., the ability to prove a case for the full amount claimed either because of legal issues involved or a bona fide dispute as to facts; and that penalties may be settled 'for one or for more than one of the reasons authorized in this part.'

Far Eastern Shipping Co. - Possible Violations of Sections 16, Second Paragraph, 18(b)(3) and 18(c), Shipping Act, 1916, (FESCO), 21 S.R.R. 743, 759 (Initial Decision; administratively final, May 7, 1982). Subsequent to FESCO, the Commission reaffirmed that potential costs and uncertainties of success are valid factors to be considered both in the negotiation of a settlement, and in view of a settlement agreement. *Investigation of Unfiled Agreements - Yangming Marine Transport, Evergreen Marine Corporation and Orient Overseas Container Line, Inc., 24 S.R.R. 910 (Order Adopting Initial Decision, Mar. 30, 1988).* In accordance with the Commission's previous analysis, evaluation of proposed settlements is based on balancing multiple factors, including effectuation of agency enforcement policy, deterrence of future violations by respondents and the industry, benefits to the shipping public, litigative and administrative costs, the risks of litigation, and such other matters as justice may require. The balance of these factors favors approval of this proposed settlement.

2. Voluntary Dismissal Pursuant to 46 C.F.R. § 502.72(a)(3)

The full text of the agreement is public and is submitted along with this memorandum in compliance with 46 C.F.R. § 502.603(a). As such, the agreement will inform other carriers and the shipping public so they may take note of its terms and conform their conduct thereto. The Settlement Agreement is free of fraud, duress, undue influence, mistake, or other defects which

would otherwise result in its disapproval. Moreover, the settlement is the result of arms-length, good-faith negotiations conducted with the advice of counsel.

3. Compliance with Law and Public Policy

The Commission previously found that the prior settlement agreement lacked clarity, noting detailed provisions within the agreement that created potentially burdensome obligations on those disputing detention and demurrage fees as well as potential inconsistencies. Remand Order at 5–7. The presently proposed Settlement Agreement does not contain such provisions thereby bringing it into alignment with OSRA 2022 and its public policies. Additionally, the Settlement Agreement brings immediate relief to the shipping public, mandating refunds of charges on the 21 invoices at issue in this proceeding. And, just as importantly, the proposed Settlement Agreement expressly requires Respondents to “comply hereafter with the Interpretive Rule regarding Detention and Demurrage, 46 C.F.R. § 545.5(c)(1); 85 FR 29638 (May 18, 2020).”

4. Subpart W Penalty Factors—46 C.F.R. §§ 502.601–502.605

Subpart W governs, among other things, the assessment of civil penalties. Under § 502.603(b), “[i]n determining the amount of any penalties assessed,” the Commission is required to “take into account the nature, circumstances, extent and gravity of the violation committed and the policies for deterrence and future compliance with the Commission’s rules and regulations and the applicable statutes.” In addressing the penalty factors the Parties do not attempt to state how the Commission would or should come out if the matter were to be litigated to completion. Rather, each side has arguments they would press in any further litigation.

a. Nature, Circumstances, Extent and Gravity of the Violations

Wan Hai does not admit any violations and believes it has documentary and testimonial

evidence that contradicts the position taken in the OIH and by BEIC in this proceeding and supports the reasonableness of its conduct. Regardless, Wan Hai would vigorously argue that the nature, circumstances, extent and gravity of the alleged violations do not warrant imposition of a significant penalty.

BEIC would contend that the violations are serious, and that the nature, circumstance, extent, and gravity are all aggravating factors that compel a commensurate civil penalty as outlined in the Settlement Agreement. BEIC asserts that this penalty amount will serve as a deterrent against future violations.

Beyond the dollar amount of the civil penalty, the Settlement Agreement importantly provides for Wan Hai's agreement to immediately comply with the Interpretive Rule and related statutory and regulatory requirements in the U.S. foreign trades. The Settlement Agreement coupled with the issuance of a cease-and-desist order will deter future similar violative acts by Wan Hai. Moreover, it will serve as notice to other VOCCs that violative acts in contravention of the Interpretive Rule, 46 C.F.R. § 545.5(c)(1) run afoul of the Shipping Act.

b. Enforcement Policy of Deterrence and Compliance

With respect to the policy of enforcement, BEIC stresses the importance of ensuring compliance with the law. Wan Hai supports the Commission's objectives and has, in addition to payment of a civil penalty, agreed to comply with the Interpretive Rule, 46 C.F.R. § 545.5(c)(1) for all shipments within the jurisdiction of the Commission. The relief agreed to by Wan Hai provides assurances of deterrence and future compliance. Wan Hai's commitment to these changes is reflected in its agreement to a cease-and-desist order. The agreed civil penalty adds further weight to the deterrent effect. Wan Hai also recognizes that its failure to comply with the cease-and-desist order may result in much higher penalties being demanded by the Commission

in any enforcement action resulting from such failure. Additionally, approval of the Settlement Agreement would put other ocean common carriers on notice and is likely to deter them from engaging in similar practices.

5. Litigative Realities

The litigative realities and cost of continued litigation weigh in favor of approving the Settlement Agreement. The decision to settle reflects the consideration that, if the matter were not settled, both parties would be expected to vigorously defend their respective positions and incur substantial administrative and financial costs based on the fact that several procedural steps remain in this proceeding. Acknowledging the Parties remain divergent on the merits of the case, they have carefully considered the costs, benefits, and risks of further litigation, and determined that settlement is in their mutual interests, as well as that of the shipping public. Both sides recognize the litigation reality that resolution of the proceeding by trial would be an expensive undertaking that would divert resources from each of the Parties. Moreover, it is likely that, even with the expedited schedule required by the Remand Order, as implemented by the ALJ's Remand Scheduling Order issued on December 27, 2022, the likelihood of appeal to the Commission and the courts, the matter would take significant time to reach a final resolution. The Settlement Agreement by contrast, would resolve the matter without extended litigation thereby bringing substantial, valuable, and immediate relief to the shipping public, including refunds of charges on the 21 invoices at issue in this proceeding. Accordingly, consideration of these benefits along with the risks, costs, and uncertainties of continued litigation weighs in favor of approval of the Settlement Agreement.

6. Lack of Prior Offenses; Ability to Pay

The Commission's regulations at 46 C.F.R. § 502.603 also require that the absence of

prior offenses and Respondents' ability to pay be taken into account. Here, Wan Hai has no recent history of prior offenses which, while not necessarily an exculpatory factor, should be considered and which weighs in favor of approval of a negotiated settlement. The Settlement Agreement also takes into account the fact that Wan Hai is one of the smaller ocean common carriers serving the U.S. Transpacific trade², further confirming the reasonableness of the settlement amount.

III. CONCLUSION

This Settlement Agreement represents a compromise by both Parties, negotiated by experienced attorneys on both sides. After careful consideration of the inherent uncertainty of litigation and the substantial expenditure of resources that would be required to bring the matter to final resolution, the Parties choose to settle. The Parties further note that the Settlement Agreement specifically addresses the concerns raised by the Commission in the Order Affirming Denial of Joint Settlement Motion. The current Settlement Agreement significantly expands the limitations on Wan Hai's activity, requires restitution to the shipping public, and raises the level of civil penalties to be paid as compared to the previous settlement. The Parties submit that, for the reasons enunciated above, the terms of the Settlement Agreement are fair, correct, and valid, as well as consistent with Commission policy.

In light thereof, the Parties respectfully request that A) the Settlement Agreement be approved; B) that an Order be entered requiring Wan Hai to refund the underlying parties for charges collected under the twenty-one (21) invoices at issue in this proceeding as listed in

² See Journal of Commerce Staff, *JOC Rankings: 2M Closing Share Gap with Ocean Alliance in US Trades*, Aug. 19, 2022, available at https://www.joc.com/article/joc-rankings-2m-closing-share-gap-ocean-alliance-us-trades_20220819.html (last visited February 23, 2023).

Attachment A to the Order of Investigation and Hearing; C) that an order be entered against Wan Hai ordering it to cease and desist from knowingly assessing detention charges where: (a) Wan Hai failed to provide an equipment return location; (b) where Wan Hai identified an equipment return location that was not accepting the container chassis; or (c) where appointments were unavailable for equipment return, so as to comply hereafter with the Interpretive Rule regarding Detention and Demurrage, 46 C.F.R. § 545.5(c)(1); 85 FR 29638 (May 18, 2020); and D) that this proceeding be dismissed with prejudice.

DATED: February 24, 2023

Respectfully submitted,



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CERTIFICATE OF SERVICE

I hereby certify that on this 24th day of February 2023, a copy of the foregoing has been served upon all counsel of record in accordance with 46 C.F.R. Part 502.

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